

Of the Waldorf issue \$11,000,000 were sold to the public in October 1929. The ground rental began at \$300,000 a year, but jumped to \$600,000 at the end of two years and was graduated upward thereafter to a maximum of \$800,000 per year. In addition there were certain building and sinking-fund rentals required to be treated as *operating expenses*, although they were fixed and determinable in amount. The statement in the offering circular that the fixed charges on the First Leasehold 7s were covered over 4.5 times (according to an estimated income account) was therefore misleading, as the rental charges were soon to exceed the interest on the bonds and were lumped in with the operating expenses in such a way as to conceal their true character and effect. If the buyer of the First Leasehold 7s had capitalized the prior charges at 6%, he would have discovered that the \$11,000,000 issue was junior to about \$23,000,000 of prior claims.

Early in 1932 it became necessary to negotiate with the landlord (a subsidiary of the New York Central R.R.) with respect to the ground-rental payments which were in default. A plan of readjustment was completed in 1937 whereby the landlord made certain concessions with respect to the order and amounts in which ground rentals are to be payable in the future, and in return the bondholders assented to a modification of the indenture whereby their holdings were transformed into common stock and income bonds carrying contingent charges. The bonds in this case declined to a low price of $3\frac{1}{4}$ in 1932.

A very similar situation developed with respect to the Hotel Pierre issue. The original bonds sold in this case at a low price of 1 cent on the dollar in 1932 and 1933. A reorganization in 1932 gave the holders of the old First Leasehold 6 $\frac{1}{4}$ s a drastically reduced principal amount of new Income Debentures of 2 East 61st Street Corp. and a small amount of stock. In April 1939 the enterprise again encountered difficulties with its rental obligations and filed a voluntary petition in bankruptcy.

Tower Building Company (Chicago) First Leasehold 6 $\frac{1}{2}$ s were offered to the public in 1926 at par. The amount was \$1,900,000. The leasehold called for annual payment of a ground rent starting at \$190,000 (and increasing thereafter). These heavy leasehold payments were subsequently defaulted; the lease was forfeited in 1931, and the bonds lost all value.

A similar disastrous fate befell the holders of 170 Broadway Corporation (New York) First Leasehold 6 $\frac{1}{2}$ s, due 1949.

NOTE 22

The student will find it interesting to compare our suggested minimum quantitative standards for bond selection with the *Bond Quality Yardsticks* prepared in
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